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ABSTRACT

This study examines the expenditure allocation pattern of charter schools in Texas and compares those patterns to non-charter public schools to determine if the autonomy afforded to charter schools results in significant differences. Findings indicate the allocation patterns of charter schools do differ from those of non-charter public schools. After controlling for various student and school characteristics, charter schools allocate approximately two percentage points less than non-charters to instruction, 1.76 percentage points less to instructional services, and two percentage points less to support services. Conversely, charters dedicate 1.4 percentage points more to school leadership and 4.5 percentage points more to "other costs," as compared to non-charters. That is, charters appear to allocate less to instruction-related activities and more to "overhead" — such as administration and "other costs". All of these differences are statistically significant, and the differences in instructional services, support services, and "other costs" are practically significant, as measured by effect sizes.

INTRODUCTION

This study examines the expenditure allocation patterns of charter schools in Texas and compares those patterns to non-charter public schools to determine if the autonomy afforded to charter schools results in significant differences. The study grows out of two bodies of literature. The first concerns itself with how schools allocate funds, and the second addresses the relationship between school-level decision making and budget allocations. To date, school-based decision making in traditional public school systems has not produced significant

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differences in how schools allocate funds, largely because this reform effort has not yielded authentic decision making opportunities over budgets. Charter schools, however, with innovative governance models and autonomy, present an opportunity to test whether more genuine school-based decision making yields differences in budgetary allocations. Results below suggest the relationship is not as theorists would posit.

LITERATURE REVIEW

During the past several decades, two questions have endured among educational finance scholars: "Does money matter?" and "Where does the money go?" Although the first has generated well-known debate and contrary findings (Hanushek 1986, 1997; Laine, Greenwald, and Hedges 1996), the second starts from a position that money matters and focuses on how money is spent (Greenwald, Hedges, and Laine 1996). As Picus and Fazal (1996) note, "How educational resources are spent is an important question" (p. 10), because this is how "local educators may meet the needs of their students by the most educationally and economically efficient means possible" (Greenwald, Hedges, and Laine 1996, p. 385).

Studies on how money is spent, or allocation studies, first focused on spending at the district level, and such work continues to the present (Ajwad 2006; Rubenstein et al. 2007). Few early studies used schools, classrooms, or students as the unit of analysis (Macphail-Wilcox and King 1986). That began to change, however, for at least three reasons. First was a perception that significant decisions about educational programs and services were being made at the school level in addition to the district level (Hertert 1995; Schwartz 1999). Second, states and districts began reporting finance data down to the school level (Odden et al. 2003), even though, as of this writing, such data remain scarce. Third were studies that suggested a relationship between allocation and student achievement (Odden et al. 2008; Sander 1993).

Yet, despite findings in the latter studies, other research concluded the variance in allocation among public schools and districts is actually quite small (Arsen and Ni 2012; Picus and Fazal 1996). This reflects several dynamics at work in most public schools. Principals report having discretionary power over only approximately 3% of their budgets (Clover et al. 2004). And even at the district level, flexibility of allocation is constrained by a number of forces, including district staffing requirements, parental concerns, insufficient skill sets of teachers, special interest groups, state and federal governments (i.e., categorical or programmatic funds), contracts with teacher unions, and the traditional structure of schools (Goertz and Stiefel 1998; Hannaway and Sharkey 2004; Monk, Pijanowski, and Hussain 1997).

One attempt to overcome these constraints and allow for greater flexibility in resource allocation was school-based management (SBM), a significant part of which was supposed to be delegation of budget authority to school sites (Wohlstetter and VanKirk 1996), also called decentralized budgeting or campus-based budgeting (Reyes and Rodriguez 2004). The theory behind such efforts was that devolution of budgeting to individual schools would encourage innovation and change and enhance organizational effectiveness and productivity (i.e., greater student achievement) by placing decisions closest to students and by directing accountability to individual schools (Goertz and Stiefel 1998; Wohlstetter and VanKirk 1996; Reyes and Rodriguez 2004). According to Hentschke (1988), however, SBM budget delegation in practice rarely lived up to the ideal. Even if school leaders could make budgetary decisions, the authority over actual expenditures typically remained the purview of district officials. Moreover, even with the delegation of budgetary decisions to schools, principals still faced many of the same forces listed above. Not surprising, then, that Reyes and Rodriguez (2004) concluded, "there is little evidence of successful budget decentralization models" (p. 17) and Monk, Pijanowski, and Hussain (1997) found few direct links between student achievement and allocation flexibility that came with SBM.

But what if schools did not face such constraining dynamics and principals enjoyed greater, more authentic budgetary discretion? Would allocations differ in any meaningful way? Although SBM did not provide a meaningful context to answer that question, one recent reform effort may—charter schools. As Koppich (1997) describes, charter schools reflect the belief that a substantial part of educational budgeting, decision making, and accountability should be based at the level of individual schools, rather than at the school district level. As schools operating in a market, charters should function less like bureaucracies and more like businesses in assuming a customer-orientation, which could mean, for example, allocating resources away from administration and back into the classroom in order to differentiate the substance of the schools' offerings to meet student needs and align with the schools' curricular philosophies (Lubienski 2006). This is possible because charter schools typically operate outside of the strictures of school districts, can wave many state regulations, are often unencumbered by union master agreements, can design and operate their schools largely however they please, and enjoy comparably greater site-based flexibility in the management and operation of the school—including budgets.

To date, however, the comparative spending patterns of charter schools remains rarely studied. The most notable was Prince's (1999) research in an earlier issue of this journal that compared the spending patterns of elementary charter schools and non-charter public elementary school districts in Michigan. Using expenditure data from school years 1996 and 1997, Prince found that Michigan's charter schools reported spending a smaller proportion of funds on instruction and a larger proportion on support services than did the comparison districts. Charters also reported higher spending on administrative activities. Prince concluded the latter may have been partially due to start-up costs associated with opening a new school.

Thus, Prince provided at least initial evidence that the type of autonomy embodied in charter schools results in different allocation patterns, but one study does not a consensus make. Moreover, Prince completed his research only eight years after the creation of the first charter school, examined only elementary schools, and compared charter schools to public school districts. The research reported below contributes a much needed contemporary addition to the question of allocation in charters and builds on Prince's work by examining charters at all grade levels, comparing charter schools to non-charter public schools (rather than districts), and does so using all charters in a state with one of the largest populations of charter schools, Texas.

METHODS

It does so by asking the following research questions:

1. What are the funding allocation patterns of charter schools?
2. How do the allocations of charter schools compare to non-charter public schools?
3. Is there a statistically significant difference in allocation patterns between charter schools and non-charter public schools after controlling for student, staff, and school characteristics?

As Macphail-Wilcox and King (1986) note, allocation studies describe, explain, and/or predict resource patterns in the context under study, leaving educational outcomes to the domain of production function studies. This research follows the former approach and takes as its model the work of Arsen and Ni (2012), which is described in detail below.

STUDY CONTEXT AND POPULATION

This study compares all charter schools (n=470) to all non-charter public schools (n=7,881) in Texas. The state passed its charter school enabling legislation in 1995, four years after the first state law passed in Minnesota. Although the state has four classes of charters—defined largely by type of authorizer or operator—most are "open-enrollment" schools with charters granted through the state board of education.

Table 1 includes descriptive statistics for the population of schools in the study. Although charters and non-charters are similar in the percentages of special education students served, other characteristics show notable differences. Charters appear to serve a greater percentage of at-risk, disadvantaged, and minority students, while non-charters enroll greater percentages of talented and gifted and limited English proficiency students. Non-charters employ more experienced teachers and have smaller student-to-teacher ratios, but enroll greater numbers of students overall. Turning to grade levels served, smaller percentages of charters cover elementary and middle school grades, but a substantially greater percentage of charters are multi-level schools (i.e., elementary and middle grades).

Like independent school districts, open-enrollment charter schools receive state funds based on the average daily attendance of students. Charters do not receive, however, funds from local tax revenue and do not have access to state facilities allotments. Open-enrollment charter schools may receive funds from private funding sources and charge fees, but the latter can only be the same types of fees independent school districts are authorized to charge. Funding differences between what charters and non-charter public schools receive led to Texas being classified as "moderate" in funding discrepancies in a national study of charter school funding inequities (Speakman and Hassel 2005).

Table 1. Population Descriptive Statistics, Three-Year Averages

	Mean		**SD**	
	Non-charter	**Charter**	**Non-charter**	**Charter**
Mean teacher experience	11.78	5.14	3.18	3.70
Teacher student ratio	13.84	15.18	3.32	5.52
Percent LEP	15.48	12.79	19.06	19.96
Percent at risk	49.35	59.18	23.36	32.38
Enrollment total	594.81	257.58	496.99	230.47
Percent SPED	10.72	11.88	10.99	15.28
Percent TAG	6.68	1.26	7.02	3.88
Percent disadvantaged	59.72	71.20	26.76	27.59
Percent minority	62.84	78.11	30.06	25.27
	n		**%**	
Elementary schools	4,213	173	53	37
Middle schools	1,659	44	21	9
High schools	1,669	116	21	25
Multi-level schools	340	137	4	29

Table 2 includes expenditures per pupil disaggregated by school type. Overall, the two school types are within a few hundred dollars of each other in total per pupil expenditures (charter=$8,181; non-charter=$8,365). In allocations, some differences between charters and non-charters are small—such as instructional leadership—but other differences are upwards of 40%—such as other costs. In three of the expenditure functions, non-charters tend to spend more per pupil—instruction, instructional services, and support services. In school leadership and other costs, charter spending per pupil outpaces non-charters.

Table 2. Population Expenditures per Pupil, Three Year Averages

	Mean		**SD**	
	Non-charter	**Charter**	**Non-charter**	**Charter**
Instruction	6,072.72	5,304.42	34,553.13	3,547.28
Instructional leadership	126.15	124.60	2,005.57	233.58
School leadership	622.48	943.40	1,595.64	1,121.20
Instruction services	269.05	162.81	738.32	216.11
Support services	465.77	290.49	3,804.65	445.13
Other costs	808.43	1,355.14	950.58	1,429.44

DATA AND VARIABLES

Data for the study came from Texas's Academic Excellence Indicator System (AEIS), which contains extensive school-level data on student characteristics, staff characteristics, school finance, and other indicators for all public schools in the state (Ajwad 2006). AEIS data can be found on the website of the Texas Education Agency at: *http://ritter.tea.state.tx.us/perfreport/aeis/.* Although data are available back into the early1990s, the years 2008–09, 2009–10, and 2010–11 were included here, as finance data prior to these years were not consistent.

This study used 18 variables—six finance, year, and 11 school/student. Table 3 lists all of the variables and the respective scales of measurement. Data were downloaded from the AEIS system, and most variables were used as reported. However, data screening revealed six schools with obvious data entry errors, and their finance variables were set to missing. Also, eliminated from the sample were schools that served only early childhood years.

Following a model established by Arsen and Ni (2012), expenditures by function were converted into percentages of total expenditures as a measure of allocation. Note that finance data used here represent dollars spent from all funds, not just general funds. Each of these six percentage variables were treated as dependent variables in the regression analyses, as described below. School

Table 3. Study Variables and Coding

Variable	Coding
Dependent Variables	
Instruction percent	Instruction expenditures percent of total expenditures
Instructional leadership percent	Instructional leadership expenditures percent of total expenditures
School leadership percent	School leadership expenditures percent of total expenditures
Instruction related services percent	Instruction related services expenditures percent of total expenditures
Support services percent	Support services expenditures percent of total expenditures
Other costs percent	Other expenditures percent of total expenditures
Independent and Control Variables	
School type	1=charter, 0=non-charter
Grade span	1=elementary, 2=middle, 3=high, 4=multilevel
Mean teacher experience	Continuous (0, 1, 2..., *n*)
Teacher student ratio	Continuous (0, 1, 2..., *n*)
Percent limited English proficiency	Percentage of population LEP
Percent disadvantaged	Percentage of population economically disadvantaged
Percent at risk	Percentage of population educationally at risk
Enrollment total	Continuous (0, 1, 2..., *n*)
Percent minority	Percentage of population racial/ethnic minority
Percent special education	Percentage of population in special education
Percent talented and gifted	Percentage of population talented and gifted
Year	0=2008-09, 1=2009-2010, 2=2010-11

type measures whether a school was a charter or non-charter public school. This represents the primary independent variable of interest in the regression analyses. The remaining student and school variables were included as covariates (Arsen and Ni 2012). Prior research (Greene, Huerta, and Richards 2007; Unnever, Kerckhoff, and Robinson 2000; Parrish and Fowler 1995; Dolan and Schmidt 1987; Ferguson 1991; Monk and Hussain 2000) has indicated that each of these variables may be significantly related to school spending and how resources are allocated, making it important to control for potentially confounding effects. Year is included in the regressions for two reasons. First, prior research suggests allocations may differ based on the length of time a charter has been in operation (Prince 1999). Specifically, school "start-up"—defined as the first year or two of operation—may require different allocation distributions as compared to later years. Second, including year in the model controls for unobserved influences that may be a function of time (Arsen and Ni 2012).

ANALYSIS

The first two research questions are answered by using descriptive statistics to describe allocation patterns among charter schools and to compare those patterns to non-charter public schools. The analysis for question three is similar to Arsen and Ni (2012) and others (Unnever, Kerckhoff, and Robinson 2000) who used fixed-effects regression to measure differences in allocations between charters and non-charters after controlling for student and school characteristics and year. Six separate regressions are run, one for each expenditure function (i.e., instruction, instructional leadership, etc.). Each regression takes the form:

$$Y = \beta_0 + \beta_1(\text{charter}) + \beta_2(\text{perctag}) + \beta_3(\text{teachexper}) + \beta_4(\text{stuteachratio}) + \beta_5(\text{perclep}) + \beta_6(\text{percdisadvan}) + \beta_7(\text{percatrisk}) + \beta_8(\text{totalenroll}) + \beta_9(\text{percmin}) + \beta_{10}(\text{percsped}) + \beta_{11}(\text{middleschool}) + \beta_{12}(\text{highschool}) + \beta_{13}(\text{multilevel}) + \beta_{14}(\text{year2}) + \beta_{15}(\text{year3})$$

where Y = expenditure category. Grade level is dummy coded, with elementary used as the reference. The year fixed effect uses year 1 (i.e., 2008-2009) as the reference. Finally, data were screened for collinearity, and none was detected.

RESULTS

The presentation of results is organized by the three research questions listed above.

Allocation Patterns of Charter Schools

As Table 4 indicates, the distribution of charter school expenditure allocations has remained largely consistent during the three years of data included in this study. The largest spending category is instruction, at around 66% of the expenditures. This category saw a slight increase over time. Some of that increase came at the expense of the "other costs" category, which saw the second largest allocation percentage at approximately 17% but one that decreased over the three years. The third largest allocation of expenditures went to school leadership, at around 11%. This was followed by support services (≈3%), instructional services (≈2%), and instructional leadership (≈1.4%).

Table 4. Charter School Expenditure Allocations in Percentages

	Mean			SD		
	2008–09	2009–10	2010–11	2008–09	2009–10	2010–11
Instruction	65.57	65.98	66.03	14.16	13.74	13.42
Instructional leadership	1.35	1.35	1.42	2.95	2.14	2.10
School leadership	10.30	11.17	11.02	6.27	6.36	6.85
Instruction services	1.83	2.07	2.10	2.01	2.39	2.20
Support services	3.32	3.22	2.95	4.21	4.76	3.63
Other costs	17.67	16.20	16.50	13.28	12.58	12.90

Allocation of Charter School Expenditures Compared to Non-Charter Public Schools

The same within-school type allocation patterns are true for non-charter public schools as for charters—instruction receives the largest percentage, followed by "other costs," school leadership, and so forth (see Table 5). However, comparisons of the allocations between charters and non-charters reveal what appear to be non-trivial differences. Non-charters dedicate more than six percentage points more to instruction than do charters, almost two percentage points more to support services, and approximately one-and-a-half percentage points more to instructional services. Meanwhile, charters allocate more than six percentage points more to "other costs" and more than three percentage points more to school leadership.

Table 5 also demonstrates more variance in charter school allocations as compared to non-charter public schools. Some of this may be a function of differences in group size, but the differences in variation for at least two expenditure types—instruction and "other costs" —may exceed what could be expected from differences in group sizes. Allocations among non-charter public schools for instruction and "others costs" (and almost every other category) appear more consistent as compared to charter schools.

Table 5. Expenditure Allocations for Non-Charters and Charters, Three Year Averages

	Mean		SD	
	Non-charter	Charter	Non-charter	Charter
Instruction	72.30	65.88	8.54	13.74
Instructional leadership	1.19	1.38	1.26	2.39
School leadership	7.54	10.86	4.81	6.52
Instruction services	3.57	2.01	2.33	2.22
Support services	4.97	3.15	2.58	4.22
Other costs	10.45	16.74	7.07	12.91

Statistically Significant Difference in Allocation Patterns between Charter Schools and Non-Charter Public Schools

Table 6 indicates whether these mean differences between charters and non-charter public schools persist after controlling for school and student covariates. As demonstrated, for all expenditure categories except one—instructional leadership—the differences are statistically significant. After controlling for student and school variables, charter schools allocate approximately two percentage points less than non-charters to instruction, 1.76 percentage points less to instructional services, and two percentage points less to support services. Conversely, charters dedicate 1.4 percentage points more to school leadership and 4.5 percentage points more to "other costs," as compared to non-charters.

Practically speaking, some of these differences are quite meaningful. Table 7 reports the differences in effect sizes, using both Cohen's *d* (1977) and the unstandardized regression coefficients (Lipsey and Wilson 2001). Looking first at Cohen's *d*, all except differences in instructional leadership are moderate to large, using Cohen's interpretive scale—Glass, McGraw, and Smith's (1981) criticisms notwithstanding. The pattern changes some, however, when considering effect sizes based on unstandardized regression coefficients. Here, three of the expenditure differences—instruction, instructional leadership, and school leadership—are small, but the other three remain large—instructional services, support services, and "other costs." Thus, speaking both statistically and practically, the differences between charters and non-charters in the allocation of funds to instructional services, support services, and "other costs" are significant, with charters dedicating comparably less to the first two and more to last.

DISCUSSION AND CONCLUSION

This study examined the expenditure allocation patterns of charter schools in Texas and compared those patterns to non-charter public schools to determine if the autonomy afforded to charter schools resulted in significant differences. Findings indicated the allocation patterns of charter schools do differ from those of non-charter public schools. Specifically, after controlling for various student and school characteristics, charter schools allocate approximately two percentage points less than non-charters to instruction, 1.76 percentage points less to instructional services, and two percentage points less to support services. Conversely, charters dedicate 1.4 percentage points more to school leadership and 4.5 percentage points more to "other costs," as compared to non-charters. All of these differences were statistically significant, and the differences in instructional services, support services, and "other costs" were practically significant, as measured by effect sizes.

Table 6. Regression Results

	Instruction		**Instructional Leadership**		**School Leadership**	
	coefficient	**se**	**coefficient**	**se**	**coefficient**	**se**
Intercept	75.83*	0.41	-0.31*	0.06	8.63*	0.24
charter school	-2.16*	0.29	0.08	0.05	1.41*	0.17
mean teacher experience	0.32*	0.02	0.02*	0.00	-0.12*	0.01
teacher student ratio	-0.23*	0.02	0.04*	0.00	0.04*	0.01
percent lep	0.03*	0.00	-0.01*	0.00	-0.03*	0.00
percent at risk	-0.01*	0.00	0.01*	0.00	0.04*	0.00
enrollment total	0.00*	0.00	0.00*	0.00	0.00*	0.00
percent sped	0.04*	0.01	0.02*	0.00	-0.04*	0.00
percent tag	-0.05*	0.01	0.00*	0.00	0.01	0.00
percent disadvantaged	0.00	0.00	-0.01*	0.00	-0.02*	0.00
percent minority	-0.04*	0.00	0.01*	0.00	0.00	0.00
middle schools	-3.24*	0.15	-0.16*	0.02	1.18*	0.09
high schools	-6.65*	0.19	-0.30*	0.03	1.57*	0.11
multilevel schools	-3.91*	0.27	-0.14*	0.04	0.21	0.16
year 2	0.26*	0.13	0.02	0.02	0.06	0.07
year 3	0.45*	0.13	-0.01	0.02	0.02	0.07
	R^2=.146		R^2=.077		R^2=.093	
	Instructional Services		Support Services		Other Costs	
	coefficient	se	coefficient	se	coefficient	se
Intercept	3.89*	0.11	3.04*	0.13	8.95*	0.36
charter school	-1.76*	0.08	-2.07*	0.09	4.50*	0.25
mean teacher experience	-0.04*	0.00	0.00	0.01	-0.17*	0.02
teacher student ratio	0.04*	0.01	0.01	0.01	0.11*	0.02
percent lep	0.00*	0.00	-0.02*	0.00	0.02*	0.00
percent at risk	-0.01*	0.00	0.03*	0.00	-0.06*	0.00
enrollment total	0.00*	0.00	0.00*	0.00	0.00*	0.00
percent sped	0.00*	0.00	0.04*	0.00	-0.06*	0.01
percent tag	0.00	0.00	0.00	0.00	0.03*	0.01
percent disadvantaged	0.00*	0.00	-0.02*	0.00	0.05*	0.00
percent minority	0.01*	0.00	0.02*	0.00	0.00	0.00
middle schools	-0.15*	0.04	0.28*	0.05	2.08*	0.13
high schools	-0.56*	0.05	-0.19*	0.06	6.12*	0.16
multilevel schools	-0.78*	0.07	-1.00*	0.09	5.63*	0.23
year 2	-0.09*	0.03	0.12*	0.04	-0.37*	0.11
year 3	-0.10*	0.03	0.08*	0.04	-0.45*	0.11
	R^2=.074		R^2=.124		R^2=.145	

Table 7. Effect Sizes by Expenditure Category

	d	Regression Coefficient ES
Instruction	-0.75	-.25
Instructional leadership	0.15	.06
School leadership	0.69	.29
Instructional services	-0.67	-.80
Support services	-0.70	-.79
Other costs	0.89	.62

Thus, it appears the flexibility afforded charter schools results in differences in expenditure allocation patterns but not necessarily in a way consistent with choice theory. According to Lubienski (2006), as schools operating in a market charters should allocate resources to functions that produce the greatest outcome (i.e., student achievement) in the most efficient way possible. Yet, compared to traditional public schools, charters seem to allocate less to instruction-related activities and more to functions akin to "overhead"—such as administration and "other costs." Such findings parallel Prince's (1999) earlier results in Michigan, and although the first inclination may be to point to Prince's possible explanation (i.e., start-up costs), that may not be entirely the case here. As of the first year of data analyzed—2008–09—close to 60% of the charter schools in the state were at least five years old.

More likely is the issue of economies of scale. As Miron (2010) notes, charter schools are often small and lack the economies of scale of traditional public schools. Indeed, as reported above, charter schools in Texas are more than half the size of non-charter public schools. Moreover, charter school administration often includes roles normally housed in a district office (Dressler 2001; Perry 2008). For example, it is common for charter schools to employ their own business managers, a position typically seen in the central office. Thus, where the costs of such a position would be spread over potentially thousands of students in a district, those same costs are distributed over a few hundred in a charter school.

In recent years, charter management organizations (CMOs) were seen as structures by which economies of scale could be attained (Hendrie 2005; Lake et al. 2010). By centralizing certain common leadership and operational functions, duplicative services or positions would be eliminated at the school level, resulting in greater efficiencies and budget flexibility for the school. Of course, that structure sounds similar to a school district, and observers have noted that "[l]arger CMOs are beginning to look a lot like the very school districts charter schools wanted to escape" (Hall and Lake 2011, p. 69). Indeed, while "CMOs were meant to help charter schools capture economies of scale.... Large CMO models have not achieved those economies..." (p. 69). Since more than 50% of charter schools in Texas operate under a CMO or as part of a network of schools (more than any other state; *http://www.publiccharters.org/data/files/Publication_docs/NAPCS%20CMO%20EMO%20DASHBOARD%20DETAILS_20111103T102812.pdf*), this may explain, in part, the budget allocation patterns present in this study.

These results also may stem from observations by some that charter schools often do not differ from traditional public schools, beyond their innovative governance model. According to Lubienski (2003, 2004), the expectations that charter schools would pursue innovative classroom practices has largely gone unmet. If so, this may help explain why charter school budget allocations appear as they do. As Reyes and Rodriguez (2004) note, school-based budgeting allows instruction to drive the school budget rather than a centralized decision maker. It stands to reason, then, that if instructional practices in charter schools look similar to non-charter schools, budget allocations will not appear particularly different or innovative (i.e., significantly more dedicated to instruction than administration).

This, then, represents a potential area of further research. In a study like this one, differences within the charter sector are lost due to aggregation. It may be true that budget allocations within innovative charter schools differ substantially, where, for example, allocations to instruction-related functions are greater than in other types of schools. Further research examining the relationship between innovative practices and budget allocations would be required to substantiate this. If such a relationship were present, a second area of inquiry could focus on process. One of the assumptions in educational reform models based on market principles is that changes in school administrative structures will lead to innovative classroom practices (Lubienski 2003). Yet, site-based management (i.e., decentralized budgeting) was premised on the expectation that instruction would drive the school budget (Reyes and Rodriguez 2004). In schools demonstrating innovation in both instructional practices and budget allocations, a process study might illuminate which begat which.

Until then, it would appear that autonomy, school-based management, or decentralized-budgeting is not enough to result in innovative budgetary practices. As part of a study in which I created a typology of charter schools (Carpenter 2005, 2006), the greatest number of schools by type—at 29.5%—were of the "general" variety, meaning they were essentially indistinguishable from traditional public schools. To discern this, I frequently called charter school administrators—including those in Texas—and asked them how their school differed from the neighborhood public school. Common answers included, "Our students wear uniforms," or "We have a longer school day," or "We serve only at-risk kids," or "We're smaller." If such are the primary differences between many charter schools and their non-charter counterparts, it is little wonder, then, that budget allocations in charters look as they do here.

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